

9. *Stanley, et al, v. Lake Chalet Homeowners Association, et al*, Case No. CIVSB2320918  
Motions to be Relieved as Attorney of Record for Plaintiffs  
5/22/26, 9:00 a.m., S-17

The Court would **CONTINUE** or seek in camera discussion of the facts in support.

Here, the Lubin Pham + Caplin firm seeks to be relieved as counsel for Plaintiffs Timothy and Catherine Stanley. The declarations submitted in support only cite the law and offer in camera discussion. While the Court is cognizant of the protections related to attorney-client relationship, the Court will need *some* sort of averment establishing good cause pursuant to rule 1.16(b) of the Rules of Court. As currently worded, the submitted declarations are insufficient. Further, the Court notes a declaration submitted by the Plaintiffs asserting a *lack* of good cause. (Stanley Decl., ¶4 [“Attorney has not demonstrated sufficient grounds to justify . . .”]; also Stanley Decl., ¶7 [no meaningful discussion].) Thus, it appears that the assertion of good cause is disputed.

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10. *Collins, et al, v Costco Wholesale Corporation*, Case No. CIVSB2504111  
Plaintiff’s Motion for Leave to File a Second Amended Complaint  
5/22/26, 8:30 a.m., S-17

### ***Tentative Ruling***

The Court would **GRANT** with ten days’ leave to file the Second Amended Complaint (SAC).

### ***Case Summary***

This is a breach of contract case. Plaintiffs allege that they were long-time Costco members who relied on Defendant Costco for regular household and business-related purchases. They allege that in 2023, Defendant terminated their membership without due process or adequate explanation. In that light, the initially filed a Complaint on March 11, 2025. However, on May 8, 2025, they filed a First Amended Complaint (FAC), that alleged (1) breach of contract; (2) intentional infliction of emotional distress; and (3) negligent infliction of emotional distress. Defendant’s operative First Amended Cross-Complaint (FACC), alleging (1) breach of contract and (2) conversion.

Following a sustained demurrer on Plaintiffs’ FAC, Plaintiffs were granted twenty days to file a SAC. However, this motion seeks leave to add several causes of action based upon “new and material facts discovered after the filing of the FAC” in addition to the necessary corrections.

### ***Statement of the Law***

A motion for leave to amend is directed to the sound discretion of the Court. (Code Civ. Proc., § 473(a)(1).) Policy favors resolution on the merits; thus, the court will usually liberally grant leave to amend a pleading. (*Nestle v. Santa Monica* (1972) 6 Cal.3d 920, 939.) If a motion to

amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend; and, where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error, but an abuse of discretion. (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530.)

### ***Analysis***

As to the proposed new claims, Plaintiffs assert that they recently discovered evidence to support these claims through new documents; post-FAC contractor- and mold-inspections; and post-FAC conduct. The new assertions are contained in the body of Plaintiffs' motion and in Exhibit B, "Comparative Summary of Amendments."

While Defendant argues that granting the SAC would prejudice its ability to mount a defense, it does not explain how that is so. There is no trial date presently scheduled in this matter and no information has been provided as to the status of discovery. Moreover, Defendant filed its FACC a mere one month before Plaintiffs filed their initial motion to amend.

Regarding the argument that the amendment would be futile, the law provides that "leave to amend may be denied where permitting an amendment would be futile, e.g., where the amendment does not state a cause of action." (*Singh v. Lipworth* (2014) 227 Cal. App. 4th 813, 828.) However, while the Court has discretion to consider the legal sufficiency of a proposed amendment, the preferable practice is to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings, or other motion. (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.)

On this point, Defendant argues that all causes of action, except for the breach of contract claim, are barred by an applicable settlement agreement. The settlement agreement provides that the parties agreed to "resolve all claims, disputes and differences among them pertaining to the offer, sale, purchase and installation of Jacuzzi Shower Remodel." (FACC, Ex. B, filed 8/12/25.) However, it is not clear how the settlement agreement would foreclose many of the proposed allegations as several claims refer to conduct outside the scope of the settlement agreement or conduct that occurred after the parties entered into the settlement agreement. Thus, it cannot be said that no amendment could cure the defect. The same goes for Defendant's argument that the breach of contract and emotional distress claims are futile for failing to plead the required elements. Again, this appears curable by amendment.

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